

Taxes on Capital and Savings

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- Capital income is about 25-30% of national income (labor income is 70-75%) but distribution of capital income is much more unequal than labor income
- Capital income inequality is due to differences in savings behavior but also inheritances received
 - Equity suggests it should be taxed more than labor
- Capital Accumulation correlated strongly with growth [although causality link is not obvious] and capital accumulation might be sensitive to the net-of-tax return.
 - Efficiency cost of capital taxation might be high.

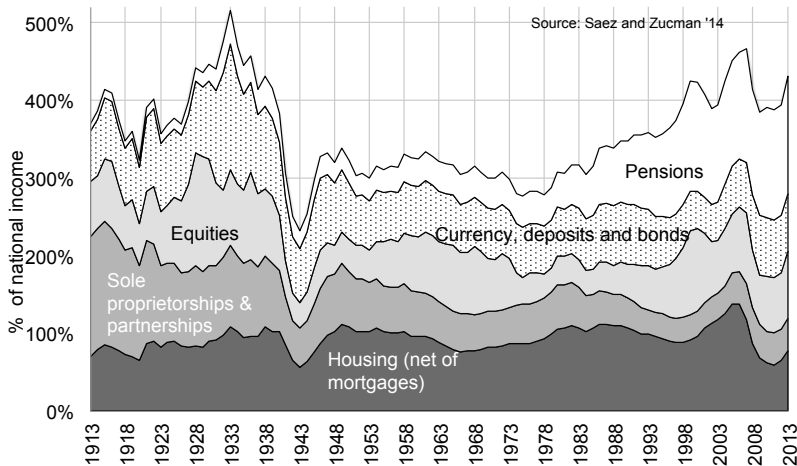
Motivation

- Capital more mobile internationally than labor
- Key distinction is residence vs. source base capital taxation:
 - Source: Capital income tax based on where the capital income is generated
 - Residence: Capital income tax based on residence of owner of capital
 - Most countries' corporate taxes are mostly source based. E.g., if a German car company sells a car in France, France taxes the profits from those sales even though the car company “resides” in Germany.
 - Most individual income tax systems are mostly residence based (with credits for taxes paid abroad). E.g., if an Italian collects a dividend from a Spanish company, Italy taxes the dividend.
 - For residence-based taxes, the incidence falls on the owner unless the owner evades or can

Facts About Wealth and Capital Income

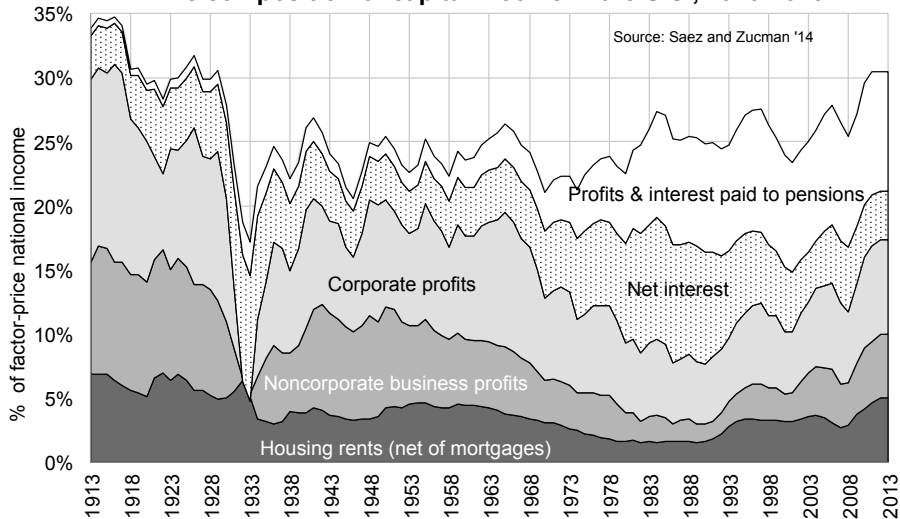
- Definition: Capital Income = Returns from Wealth Holdings
- Aggregate US Private Wealth $\simeq 6 \times$ Annual National Income
 - Housing: residential real estate (land+buildings) [income = rents] net of mortgage debt
 - Unincorporated business assets: value of sole proprietorships and partnerships [income = individual business profits]
 - Corporate equities: Value of corporate stock [income = dividends + retained earnings]
 - Fixed claim assets: Currency, deposits, bonds [income = interest income] minus debts [credit card, student loans]
 - Pension funds: Substantial amount of equities and fixed claim assets held indirectly through pension funds

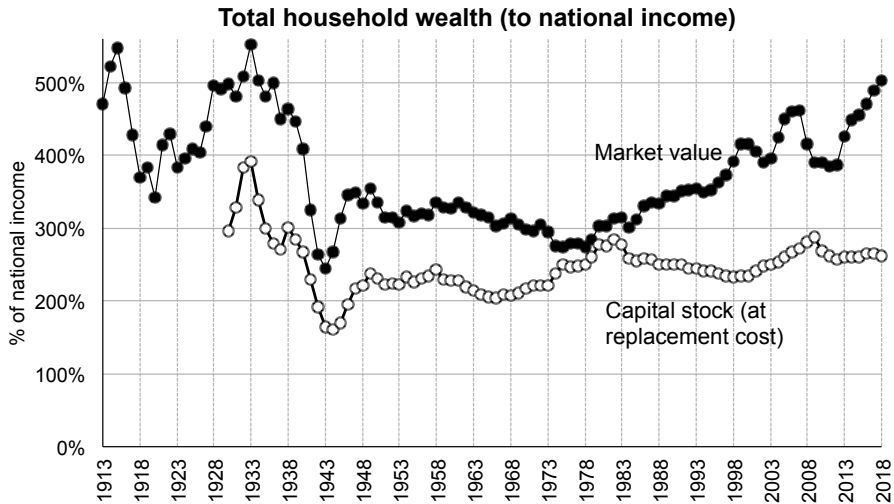
The composition of household wealth in the U.S., 1913-2013



This figure depicts the evolution of the ratio of total household wealth to national income. This ratio has followed a U-shaped evolution and the composition of wealth has changed markedly since 1913. Source: Appendix Table A1.

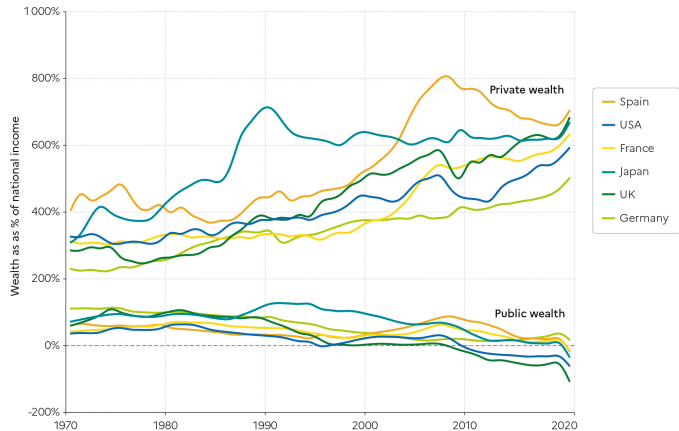
The composition of capital income in the U.S., 1913-2013





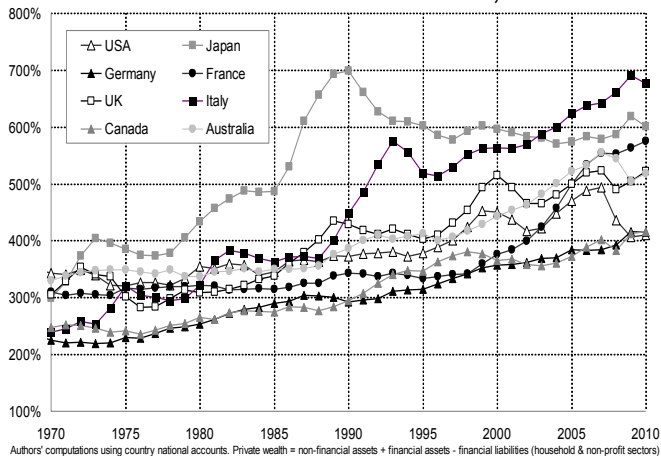
This figure depicts the share of total household wealth relative to national income Source: Piketty, Saez, and Zucman (2018).

Figure 8 The rise of private versus the decline of public wealth in rich countries, 1970-2020



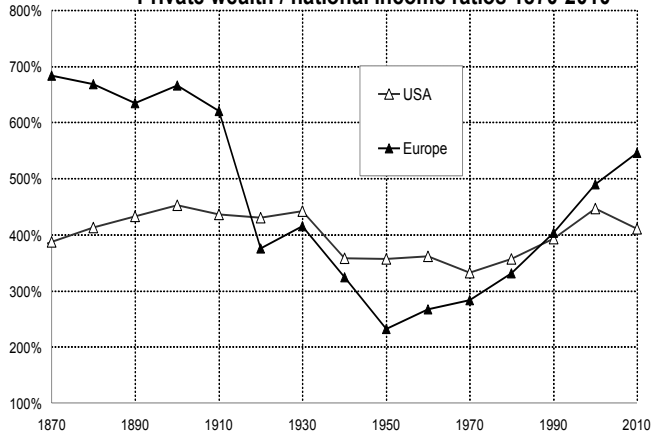
Interpretation: Public wealth is the sum of all financial and non-financial assets, net of debts, held by governments. Public wealth dropped from 60% of national income in 1970 to -106% in 2020 in the UK. **Sources and series:** wir2022.wid.world/methodology, Bauluz et al. (2021) and updates.

Private wealth / national income ratios, 1970-2010



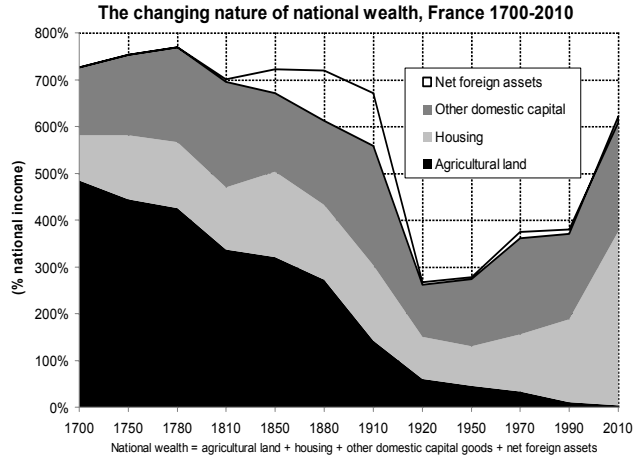
Source: Piketty and Zucman '13

Private wealth / national income ratios 1870-2010

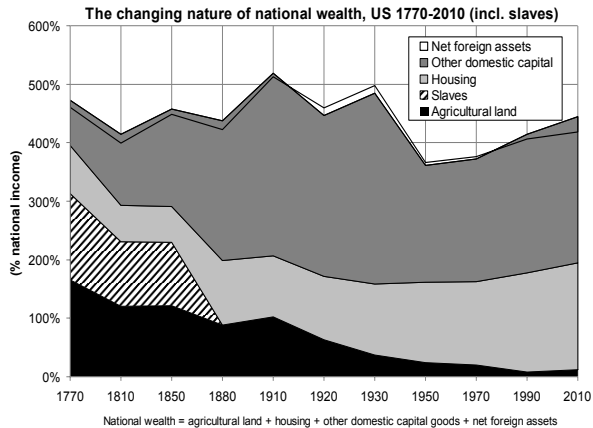


Authors' computations using country national accounts. Private wealth = non-financial assets + financial assets - financial liabilities (household & non-profit sectors)

Source: Piketty and Zucman '13



Source: Piketty, Thomas [book]Capital in the 21st Century



Source: Piketty and Zucman '13

Facts About Wealth and Capital Income

- Wealth = W , Return = r , Capital Income = rW

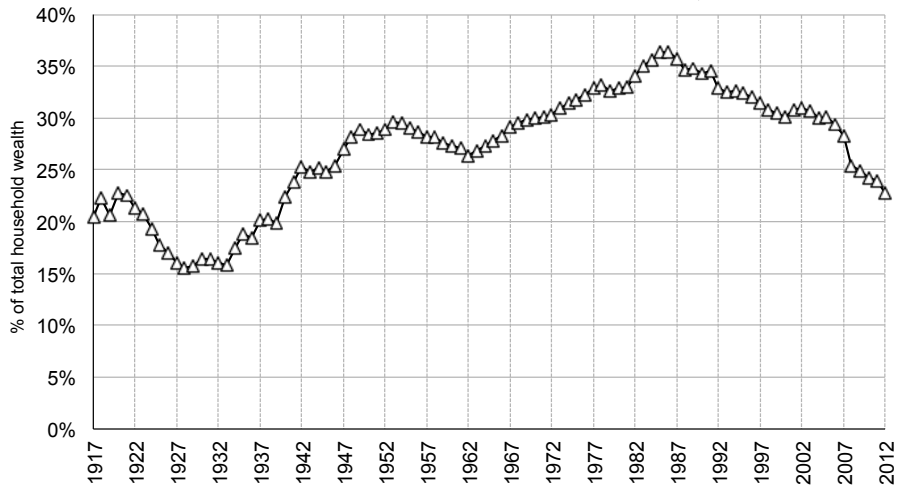
$$W_t = W_{t-1} + r_t W_{t-1} + E_t + I_t - C_t$$

- where W_t is wealth at age t , C_t is consumption, E_t labor income earnings (net of taxes), r_t is the average (net) rate of return on investments and I_t net inheritances (gifts received and bequests - gifts given).
- Differences in Wealth and Capital income due to:
 - ① Age
 - ② past earnings, and past saving behavior $E_t - C_t$ [life cycle wealth]
 - ③ Net Inheritances received I_t [transfer wealth]
 - ④ Rates of return r_t

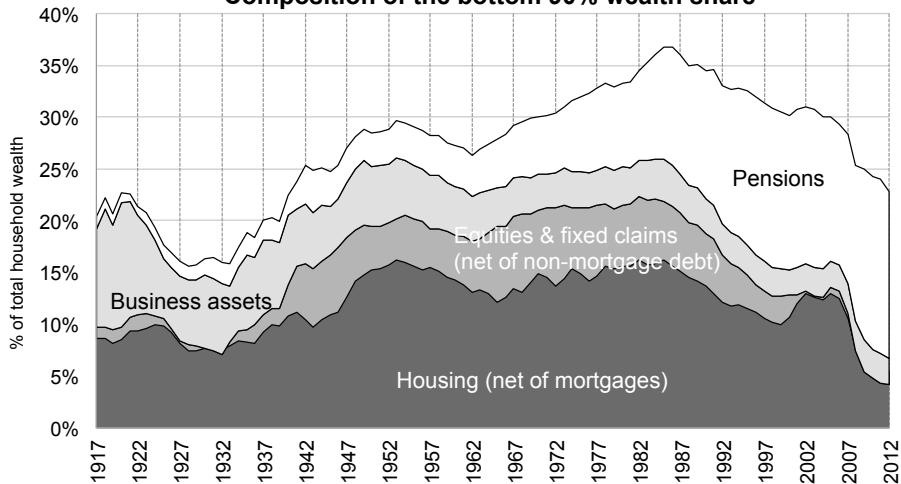
Wealth Inequality (Saez and Zucman '14)

- Wealth inequality is much higher than income inequality
- In the US 2012: Top 1% wealthiest families get 40% of total wealth, Next 9% get about 35%, next 40% get 20%, bottom 50% get about 0%
- Wealth inequality decreases from 1929 to 1980: wealth democratization due to rise in homeownership and pensions
- Wealth inequality increases sharply since 1980 fueled by increases in top incomes and a sharp drop in savings rate for bottom 90%
- US public underestimates extent of wealth inequality and thinks the ideal wealth distribution should be a lot less unequal [Norton-Ariely '11]

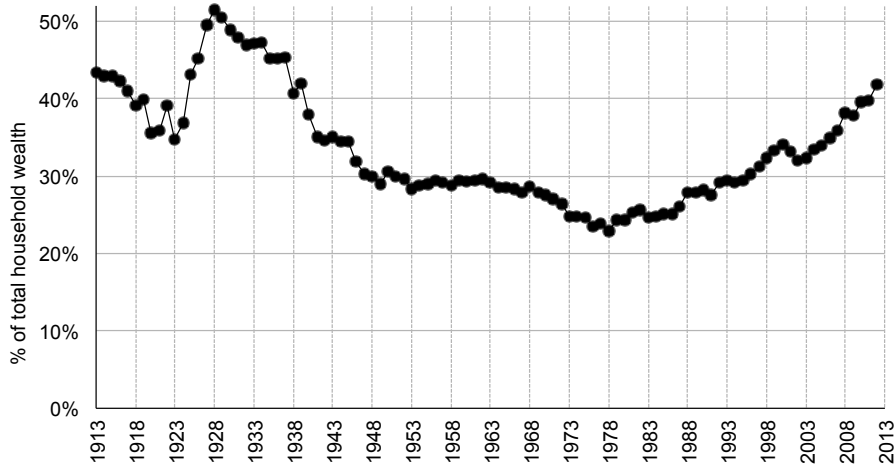
Bottom 90% wealth share in the United States, 1917-2012



Composition of the bottom 90% wealth share

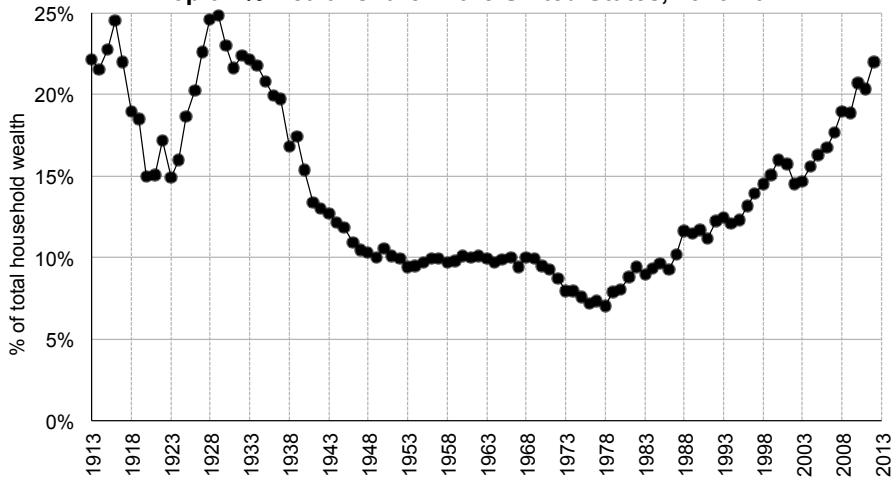


Top 1% wealth share in the United States, 1913-2012



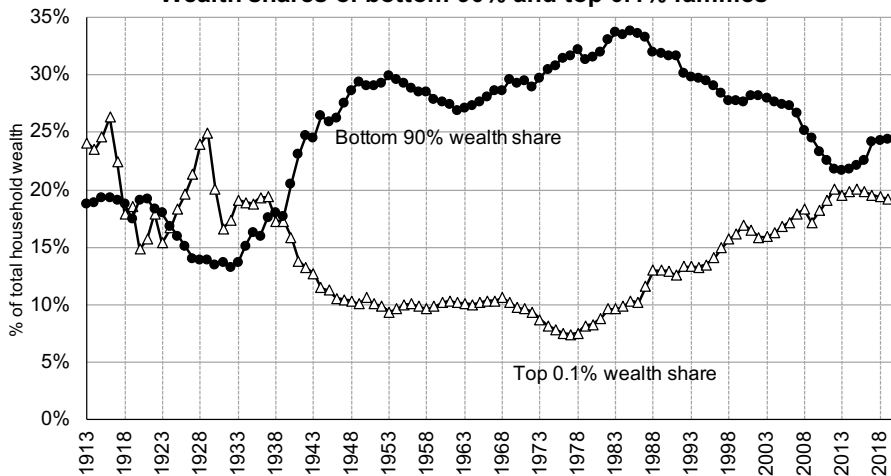
This figure depicts the share of total household wealth held by the 1% richest families, as estimated by capitalizing income tax returns. Source: Saez and Zucman (2014).

Top 0.1% wealth share in the United States, 1913-2012



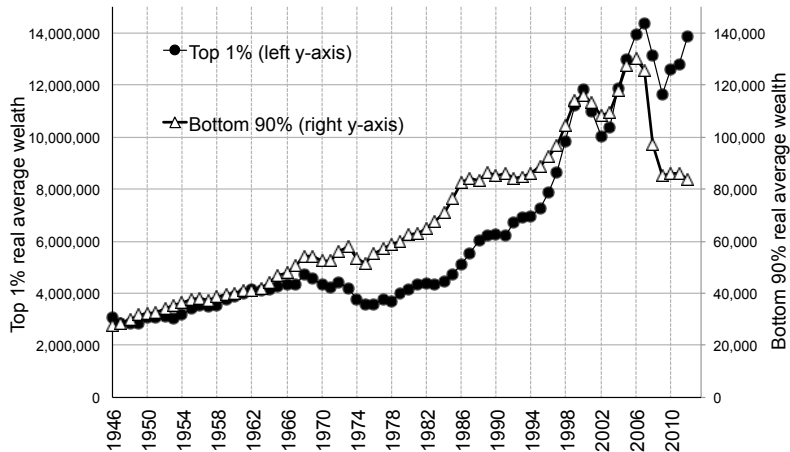
This figure depicts the share of total household wealth held by the 0.1% richest families, as estimated by capitalizing income tax returns. In 2012, the top 0.1% includes about 160,000 families with net wealth above \$20.6 million. Source: Appendix Table B1.

Wealth shares of bottom 90% and top 0.1% families



The figure depicts the share of total household wealth owned by bottom 90% and top 0.1% obtained by capitalizing income tax returns (Piketty, Saez and Zucman 2018, updated to 2019). The unit of analysis is the family.

Real average wealth of bottom 90% and top 1% families



Real values are obtained by using the GDP deflator, 2010 dollars. Source: Appendix Tables B3.

Source: Norton and Ariely 2011

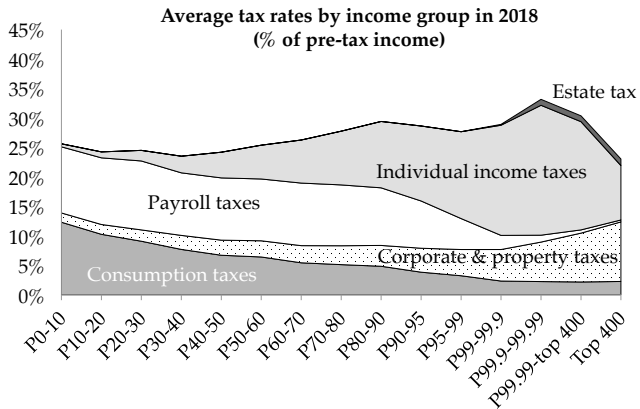
Building a Better America



Fig. 2. The actual United States wealth distribution plotted against the estimated and ideal distributions across all respondents. Because of their small percentage share of total wealth, both the “4th 20%” value (0.2%) and the “Bottom 20%” value (0.1%) are not visible in the “Actual” distribution.

Facts of US Capital Income Taxation

- ① Corporate Income Tax (fed+state): 21% Federal tax rate on profits of corporations [complex rules with many industry specific provisions]: effective tax rate lower
- ② Individual Income Tax (fed+state): taxes many forms of capital income
 - Realized capital gains and dividends receive preferential treatment (to lower double taxation of corporate profits)
 - Imputed rent of home owners, returns on pension funds, state+local bonds interest are exempt
- ③ Estate tax: tax on very large estates (above \$11m) bequeathed to heirs
- ④ Property taxes (local) on real estate (old tax):
 - Tax varies across jurisdictions. About 0.5% of market value on average



U.S. Statutory Tax Rates on Top Capital are High

- Ordinary income tax plus net investment income surtax rate: 41%
- Corporate income tax rate: 21% ($\geq 11\%$ on foreign profits)
- Dividend and capital gains tax rates: 24%
- Additional state tax rates up to 13%
- Estate tax rate: 40%

Worldwide 2018-2020 all-in effective tax rate (BSYZ 2025)

Panel C. Effective tax rate

Taxes	\$120
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Divided by: Economic income	\$525
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Equals: Effective tax rate	22.9%
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Why is the 23% worldwide all-in effective tax rate not higher?

- 14% effective listed corporate income tax rate
- Retained earnings in C-corporations
- Low taxable income from pass-throughs
- 2% effective estate tax rate (7% for singles)
- Charitable deductions

Much-discussed case study: Warren Buffett

GREG MANKIW'S BLOG

Random Observations for Students of Economics

MONDAY, NOVEMBER 26, 2012

A Master of Tax Avoidance

Warren Buffett has an op-ed in today's NY Times on one of his most popular themes: The rich should pay more in taxes. At first blush, his position seems noble: A rich guy says that people like him should pay more to support the commonweal. But on closer examination, one realizes that Mr Buffett never mentions doing anything to eliminate the tax-avoidance strategies that he uses most aggressively. In particular:

1. His company Berkshire Hathaway never pays a dividend but instead retains all earnings. So the return on this investment is entirely in the form of capital gains. By not paying dividends, he saves his investors (including himself) from having to immediately pay income tax on this income.

ABOUT ME



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I am the Robert M. Beren Professor of Economics at

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2. Mr Buffett is a long-term investor, so he rarely sells and realizes a capital gain. His unrealized capital gains are untaxed.

3. He is giving away much of his wealth to charity. He gets a deduction at the full market value of the stock he donates, most of which is unrealized (and therefore untaxed) capital gains.

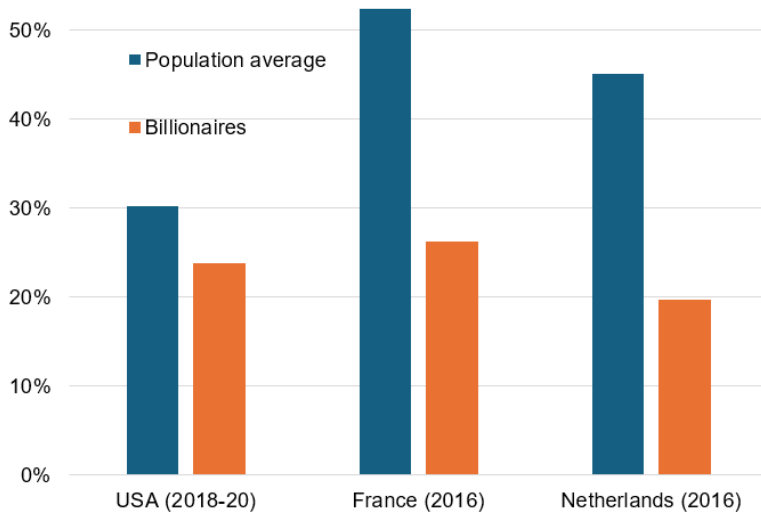
4. When he dies, his heirs will get a stepped-up basis. The income tax will never collect any revenue from the substantial unrealized capital gains he has been accumulating.

To be sure, there are pros and cons of changing the provisions of the tax code of which Mr Buffett takes advantage. Tax policy always involves difficult tradeoffs. But it seems odd to me that whenever Mr Buffett talks about taxing the rich more, the "loopholes" that he uses never seem to enter into the conversation.

Benchmarks for the 23% worldwide all-in effective tax rate at the top

- 45% tax rate on top labor
- 30% economy-wide effective tax rate (29% net of refundable tax credits, SZ)
- 3x the 8.2% “Biden rate” (Leiserson-Yagan 2021). Similar to Saez-Zucman (2019).
- Similar to European levels but less regressive (Bach et al. 2025, Bruil et al. 2025)

Similar to European levels but less regressive



Life Cycle vs. Inherited Wealth

- Economists divide existing wealth into 2 categories:
 - ① Life-cycle wealth is wealth from savings earlier in your life
 - ② Inherited wealth is wealth from inheritances received
- Distinction matters for taxation because individuals are responsible for life-cycle wealth but not inherited wealth
- Inherited wealth used to be very large in Europe (before World-War I), became small in post-World War II period, but is growing in recent decades (especially in Europe)

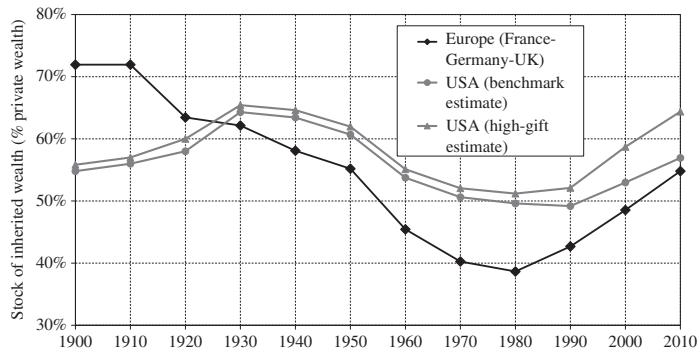
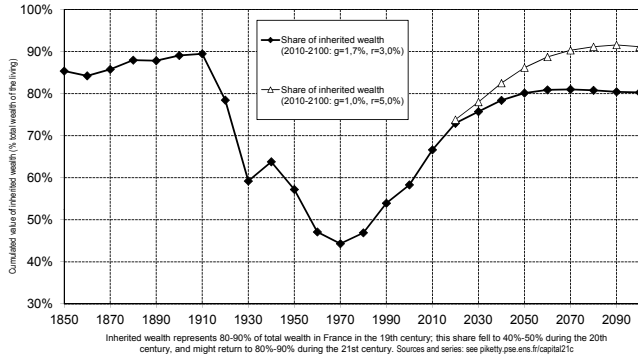


FIGURE 1. Share of inherited wealth, Europe and the USA 1900–2010.

Notes: Simplified definitions using inheritance vs. saving flows; approximate lower-bound estimates. The inheritance share in aggregate wealth accumulation was over 70% in Europe in 1900–10. It fell abruptly following 1914–45 shocks, down to 40% in the 1970–80 period. It was back to about 50–60% (and rising) in 2000–10. The US pattern also appears to be U-shaped but less marked, and with significant uncertainty regarding recent trends, due to data limitations.

Source: Alverdo Garbinti-Piketty '17

Figure 11.7. The share of inherited wealth in total wealth, France 1850-2100



Source: Piketty (2014)

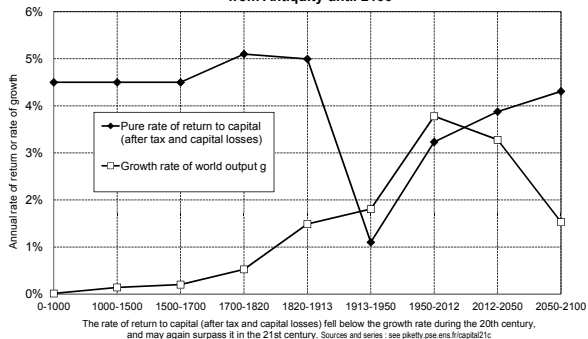
Piketty (2014) Book: Capital in the 21st Century

- Analyzes income, wealth, inheritance data over the long-run:
 - ① Growth rate g = population growth + growth per capita. Population growth will converge to zero, growth per capita for frontier economies is modest (1-1.5%) $\Rightarrow$ long-run $g \simeq 1 - 1.5\%$
 - ② Long-run Wealth to income ratio (β) = savings rate (s) / annual growth (g):
- Proof: $W_{t+1} = (1 + g) \cdot W_t = W_t + s \cdot Y_t \Rightarrow W_t / Y_t = s / g$
- With $s = 8\%$ and $g = 2\%$, $\beta = 400\%$ but with $s = 8\%$ and $g = 1\%$, $\beta = 800\%$
- $\Rightarrow$ Wealth will become important

Piketty (2014) Book: Capital in the 21st Century

- Rate of return on wealth $r \simeq 5\%$ significantly larger than g [except exceptional period of 1940s-1960s]
- With $r \gg g$, role of inheritance in wealth grows and wealth inequality increases [past swallows the future]
 - Explanation: Rentier who saves all his return on wealth accumulates wealth at rate r bigger than g and hence his wealth grows relative to the size of the economy. The bigger $r - g$, the easier it is for wealth to “snowball”: fortunes are created faster and last longer
- Capital income taxation reduces r to $r \cdot (1 - \tau_K)$
- This reduces wealth concentration and the relative weight of inherited wealth

Figure 10.10. After tax rate of return vs. growth rate at the world level, from Antiquity until 2100



Source: Piketty (2014)

Life-Cycle Model

- Individual lives for 2 periods, works l , earns wl , consumes c_1 in period 1, consumes c_2 in period 2:

$$U = u(c_1, l) + \delta v(c_2)$$

- Start with case with no taxes

- Savings $s = wl - c_1$, $c_2 = (1 + r)s$. Capital income rs
- Intertemporal budget: $c_1 + \frac{c_2}{1+r} \leq wl$
- Solves:

$$\max_{l, c_2} u\left(wl - \frac{c_2}{1+r}, l\right) + \delta v(c_2)$$

- First order condition labor supply:

$$w \frac{\partial u}{\partial c_1} + \frac{\partial u}{\partial l} = 0$$

- First order condition savings:

$$\frac{\partial u}{\partial c_1} = \delta \cdot (1 + r) \frac{\partial v}{\partial c_2}$$

Taxes in Life-Cycle Model

- Budget with consumption tax t_c :

$$(1 + t_c)[c_1 + c_2/(1 + r)] \leq wl$$

- Budget with labor income tax τ_L :

$$c_1 + c_2/(1 + r) \leq (1 - \tau_L)wl$$

- Consumption and labor income tax are equivalent if

$$1 + t_c = 1/(1 - \tau_L)$$

- Both taxes distort only labor supply and not savings

Taxes in Life-Cycle Model

- Budget with capital income tax τ_K :

$$c_1 + c_2 / (1 + r(1 - \tau_K)) \leq wl$$

- τ_K distorts only savings choice (and not labor supply)
 - Budget with comprehensive income tax τ on both labor and capital income:

$$c_1 + c_2 / (1 + r(1 - \tau)) \leq (1 - \tau)wl$$

- τ distorts both labor supply and savings
- τ imposes “double” tax:
 - tax on earnings
 - tax on savings

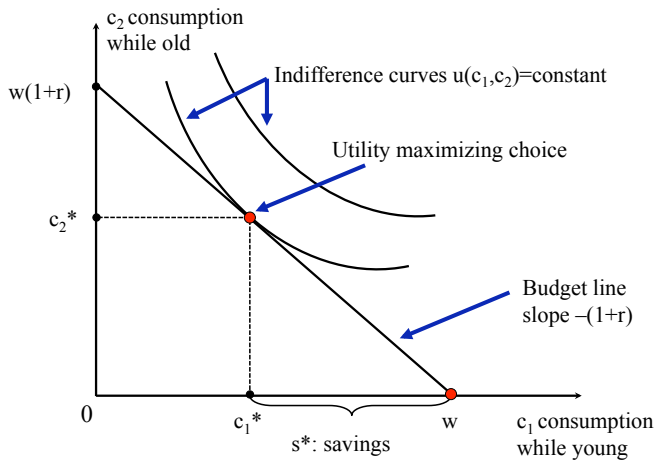
Effect of Capital Tax on Savings

- Consider simpler model (fixed earnings w in period 1)

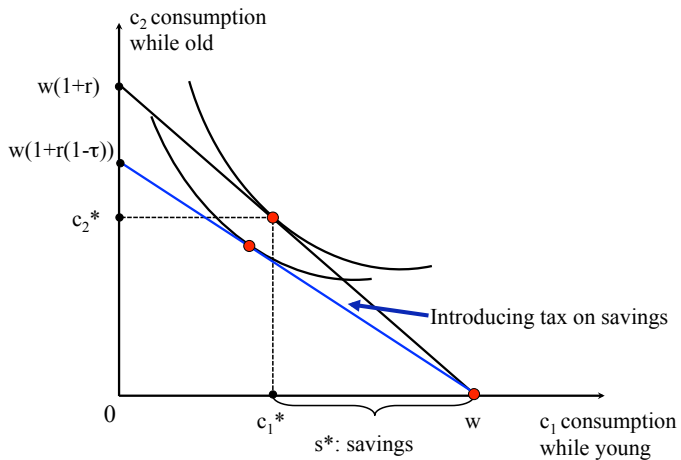
$$\max_{c_1, c_2} u(c_1) + \delta u(c_2) \quad \text{subject to} \quad c_1 + \frac{c_2}{1 + r(1 - \tau_K)} \leq w$$

- Recall that $c_1 = w - s$ and $c_2 = [1 + r(1 - \tau_K)] \cdot s$ [draw graph]
- Suppose τ_K increases and hence $1/[1 + r(1 - \tau_K)] \uparrow$
 - Substitution effect: price of $c_2 \uparrow \Rightarrow c_2 \downarrow$, $c_1 \uparrow \Rightarrow$ savings $s = w - c_1$ decrease
 - Income effect: Price of $c_2 \uparrow \Rightarrow$ consumer is poorer and both c_1 and $c_2 \downarrow \Rightarrow$ savings s increase
- Total net effect is theoretically ambiguous
- $\Rightarrow \tau_K$ has ambiguous effects on s

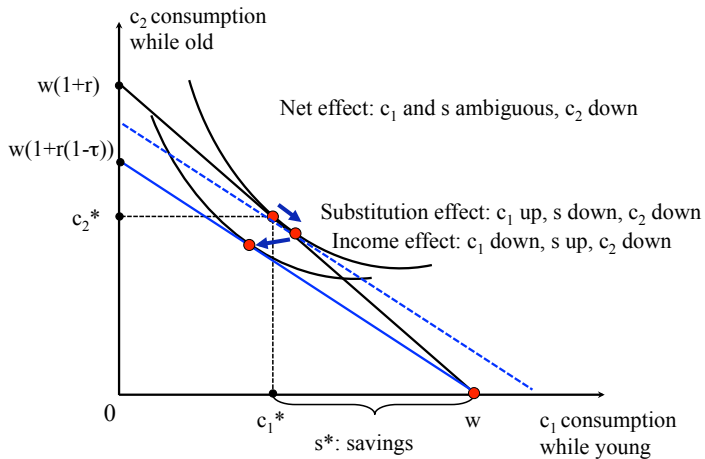
Life cycle savings and taxes theory



Life cycle savings and taxes theory



Life cycle savings and taxes theory



Fundamental Tax Reform: Shift to Consumption Taxation

- Current US tax system is an income tax taxing both labor earnings and capital income
- Some advocate shifting to consumption tax
- Shift from labor tax to consumption tax generates double taxation of transitional generation (who have paid labor tax when working and need to pay consumption tax when old)
- Actual consumption taxes (such as value-added taxes) tend to be flat or regressive as a share of income

Optimal Capital Income Taxation

- Two broad types of models:
 - ① Life-cycle models: wealth is due solely to life-cycle savings
 - ② Models with bequests: wealth is due solely to inheritances

Optimal Tax in Life-Cycle Model

- Government can use both a progressive labor income tax $T(wl)$ and a linear capital income tax τ_K
- Individuals live 2 periods, earn in period 1, retired in period 2

$$\max_{c_1, c_2, l} u(c_1) - h(l) + \delta u(c_2) \quad \text{s.t.} \quad c_1 + \frac{c_2}{1 + r(1 - \tau_K)} \leq wl - T(wl)$$

- Individuals differ only according to their earning ability w
- Government maximizes social welfare function based on individual utilities
- This should look familiar: isn't taxing savings like taxing consumption tomorrow at a different rate than consumption today?

Reminder: Atkinson-Stiglitz Commodity Tax Logic

- In the earlier commodity taxation lecture, we asked whether Rolexes should be taxed differently from groceries
- Atkinson-Stiglitz (1976): with an optimal nonlinear labor tax, differentiated commodity taxes are not needed in the baseline model
- Intuition: if richer people buy more Rolexes only because they have more income (not different tastes), redistribution should be done through $T(z)$, not commodity-specific taxes

Relabeling to Savings in the Life-Cycle Model

- In a 2-period life-cycle model, saving is just shifting consumption from period 1 to period 2
- Taxing capital income is equivalent to taxing tomorrow's consumption relative to today's consumption
- Richer households consume more tomorrow (or save more today) largely because they have more lifetime resources, not because they have different tastes over time
- So τ_K is an intertemporal differential commodity tax, and the same Atkinson-Stiglitz baseline logic implies $\tau_K = 0$: redistribute with labor taxes instead

Limits of Life-Cycle Model

- In reality, capital income inequality also due to:
 - ① difference in rates of returns across individuals
 - ② shifting of labor income into capital income
 - ③ inheritances

Difference in Rates of Returns Across Individuals

- Rate of return on wealth varies significantly over time and across individuals
- In general, richer and higher-skilled individuals are able to invest in higher return assets due to ability to take risks and scale effects in financial advice [e.g., large University endowments get a larger return than smaller ones, Piketty 2014, Chapter 12]
- $\Rightarrow$ Capital income is correlated with underlying skill so taxing it improves upon Atkinson-Stiglitz outcome [two dimensions of inequality (labor, savings technology) require two dimensions of tax policy (labor tax, capital tax)]

Shifting of Labor / Capital Income

- In practice, difficult to distinguish between capital and labor income [e.g., small business profits, professional traders]
- Differential tax treatment can induce shifting
- Private business owners who own their own business (e.g. lawyers, doctors, car dealership owners, beverage distributors) report low wages and high profits in order to escape Medicare taxes (Smith-Yagan-Zidar-Zwick QJE 19)
- Finnish Dual income tax system: taxes separately capital income at preferred rates since 1993
- Pirttila and Selin SJE'11 show that it induced shifting from labor to capital income especially among self-employed
- With income shifting, taxing capital income becomes desirable to curb this tax avoidance opportunity

Inheritance: Estate Taxation in the United States

- Estate federal tax imposes a tax on estates above \$13M exemption (less than .1% of deceased liable), tax rate is 40% above exemption
- Charitable and spousal giving are fully exempt from the tax
- E.g.: if Bill Gates / Warren Buffet give all their wealth to charity, they won't pay estate tax
- Popular support for estate tax is pretty weak ("death tax"). However, public does not seem to know that estate tax affects only richest.
- Support for estate tax increase rises from 17% to 53% when survey respondents are aggressively primed that only richest pay it (Kuziemko-Norton-Saez-Stantcheva AER'15 do an online Mturk survey experiment)

Treatment example: Information about the Estate Tax

Besides the income tax, the government can also level the playing field with the **federal estate tax**.

The **Federal Estate Tax** (also known as the **Death Tax**) applies when a deceased person leaves **more than \$5 million** in wealth to his or her heirs. Wealth left to a spouse or charitable organizations is exempt from estate tax.



Only 1 person out of 1000 is wealthy enough to face the estate tax.

Average Americans do not have anything close to \$5 million in wealth, so the estate tax does not affect them and they can pass on their property to their children tax-free.

Eliminating the estate tax would allow the very richest families to pass down all of their wealth to their children tax-free. Hence, children of rich people would also start off very rich themselves.

Increasing the estate tax is a way to level the playing field between the children of wealthy parents and children of middle-class parents.

Taxation of Inheritances: Behavioral Responses

- Potential behavioral response effects of inheritance tax:
 - ① reduces wealth accumulation of altruistic parents (and hence tax base) [not very good estimates, Kopczuk-Slemrod 2001 suggest small effects]
 - ② reduces labor supply of altruistic parents (less motivated to work if cannot pass wealth to kids) [no good estimates]
 - ③ induces inheritors to work more through income effects because they receive smaller inheritances (Carnegie effect, decent evidence from Holtz-Eakin, Joulfaian, Rosen QJE'93)
- Critical to understand why there are inheritances for optimal inheritance tax policy.
- Three models of bequests:
 - ① Accidental
 - ② Altruistic bequests
 - ③ Strategic bequest motive

Accidental Bequests

- People die with a stock of wealth they intended to spend on themselves (or that they accumulated out of love for wealth, Carroll '98):
- Bequest taxation has no distortionary effect on behavior of parent and can only increase labor supply of inheritors (through income effects) $\Rightarrow$ strong case for taxing bequests heavily
- Surveys show that bequest motives are not the main driver of typical person's wealth accumulation (Kopczuk-Lupton '07) but maybe different for very rich
- 1/3 of people surveyed say that the main reason they accumulate wealth is for bequests to their children

Altruistic Bequests (Piketty and Saez ECMA'13)

- Utility $u(c) - h(l) + \delta v(b^{\text{left}})$ where c is own consumption, l is labor supply, and b^{left} is net-of-tax bequests left to next generation and $v(b^{\text{left}})$ is utility of leaving bequests for donor
- In this model, Atkinson-Stiglitz breaks down and using bequest taxation is desirable to supplement labor income taxation
- Two-dimensional inequality (labor, bequests) requires two-dimensional tax policy tool (labor tax, bequest tax)

Strategic Bequests

- Parents may use potential bequest to extract favors from kids
- Empirical Evidence: Bernheim-Shleifer-Summers JPE '85 show that number of visits of children to parents is correlated with bequeathable wealth but not annuitized wealth of parents
- Annuitized wealth is wealth that disappears at death such as a pension or an annuity

$$\text{Visits}_i = \alpha + \beta \text{ Bequeathable Wealth}_i + \gamma \text{ Annuitized wealth}_i + \varepsilon_i$$

- In regression, they find $\beta > 0$ and $\gamma = 0$ (causality unclear)
- $\Rightarrow$ Bequest becomes one additional form of labor income for inheritor and one consumption good for parent
- $\Rightarrow$ Case for taxing inheritances as labor income for donees

Social-Family Pressure Bequests

- Parents may not want to leave bequests but feel compelled to by pressure of heirs or society: bargaining between parents and children
- With estate tax, parents do not feel like they need to give as much $\Rightarrow$ parents are made better-off by the estate tax $\Rightarrow$ Case for estate taxation stronger
- Empirical evidence:
 - Aura JpubE'05: reform of private pension annuities in the US in 1984 requiring both spouses signatures when worker decides to get a single annuity or couple annuity: reform increases sharply couple annuities choice
 - Equal division of estates [Wilhelm AER'96, Light-McGarry '04]: estates are very often divided equally probably to avoid conflicts [gifts before death are not as equally split]

Justice View (from Greg Mankiw)

Consider the story of twin brothers – Spendthrift Sam and Frugal Frank. Each starts a dot-com after college and sells the business a few years later, accumulating a \$10 million nest egg. Sam then lives the high life, enjoying expensive vacations and throwing lavish parties. Frank, meanwhile, lives more modestly. He keeps his fortune invested in the economy, where it finances capital accumulation, new technologies, and economic growth. He wants to leave most of his money to his children, grandchildren, nephews, and nieces.

Now ask yourself: Which millionaire should pay higher taxes?... What principle of social justice says that Frank should be penalized for his frugality? None that I know of.

Poll (No Right Answer)

Who should pay more lifetime taxes?

- A. Spendthrift Sam
- B. Frugal Frank
- C. Each should pay the same

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